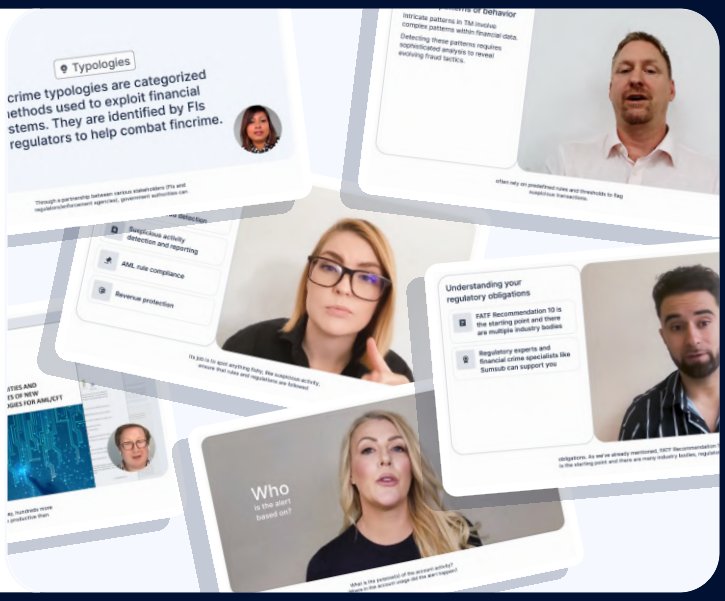
# Advanced Transaction Monitoring Masterclass

sumsub

## Congratulations on completing the course!

The Sumsub team would like to thank you again for joining us on this journey through advanced transaction monitoring best practices.




## We have compiled a list of key highlights from each module

Module 1 crassula

### Foundations of Transaction Monitoring

Hosted by Daria Dubinina, Co-CEO of Crassula

**The evolution of transaction monitoring:** Moving from rigid rules-based approaches to rules-based TM systems is essential to improve efficiency, accuracy, adaptability, cost savings, customer experience, and regulatory compliance.

**Tools and technologies:** Machine learning (ML) and artificial intelligence (AI) allow TM systems to quickly analyze massive amounts of transaction data so that suspicious activity can be detected in real time without creating overwhelming amounts of manual work and false alarms. The fundamentals of TM are the same for both crypto and fiat currencies. Blockchain analysis helps TM users keep track of digital money flows so that transparency and legality can be upheld.

Module 2 sumsub

## Transaction monitoring deep dive, red flags, alerts, documentation, and risk calibration

Hosted by Álvaro Garcia, Transaction Monitoring Technical Manager at Sumsub, ACAMS Certified

**Transaction monitoring helps you to:**

- Prevent financial crime
- Ensure regulatory compliance
- Provide Customer Due Diligence (CDD) support
- Safeguard your business and customers from bad actors and con artists
- Protect your reputation and bottom line

**Understanding users' behavior:**
Transaction monitoring helps financial institutions to get a complete picture of user activities. Customers are required to self-report information, and TM is used to ensure it matches what is expected.

**Typical indicators of suspicious activity:**

- High transaction values
- Atypically fast transactions
- Customer tenure (fraudsters often use new accounts)
- Money muling
- Expected behavior versus actual behavior
- Source of Funds (SoF)
- Ultimate beneficiaries
- Transaction patterns involving cash and crypto

Module 3

## Collaboration between financial institutions and regulators to improve transaction monitoring effectiveness

Hosted by Sheetal R. Bhardwaj, Board-Member ACFCS, MENA Chapter

**Conquering collaboration challenges involves:**

- **Fostering** open communication
- **Standardizing** protocols
- **Utilizing** secure platforms
- **Promoting** mutual trust
- **Ensuring** seamless information sharing among financial institutions

**Benefits of partnership-driven SARs:**

- The ROI on partnership-driven SARs is higher than that on self-generated SAR investigations
- SARs submitted via regulator/ enforcement agency partnerships are likely to increase processing speeds

Module 4 sumsub

## How to use KYC, CDD, and transaction monitoring data against financial crime

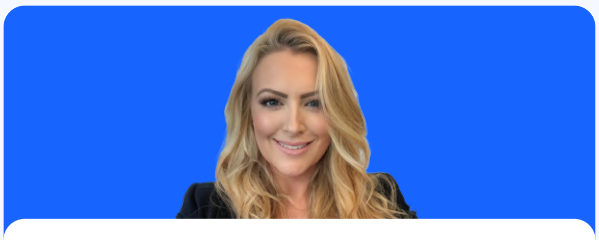
Hosted by Tony Petrov, Chief legal officer at Sumsub

**Essential TM tools:**

- **Advanced analytics:** Utilizing cutting-edge analytics for pattern recognition
- **Real-time monitoring:** Continuous monitoring of transactions for timely detection
- **Agile compliance:** Adaptability to changing regulations and the ability to implement updates for compliance quickly

**The golden rules of TM:**

- Consider high-risk countries, not just sanctioned ones, and the customer's nexus with such countries
- Utilize geolocation and IP address data: Understand their differences in reliability levels
- Monitor transactions exceeding certain thresholds or deviating from expected patterns.
- Account for unusual activity involving shell companies, virtual assets, and cash-intensive industries
- Update rules and algorithms based on evolving techniques and risks



Module 5 VRS

## Transaction monitoring triggers, alerts, investigations, and how to file SARs

Hosted by Oonagh Van Den Berg, CEO at Virtual Risk Solutions (VRS)

**The benefits of correct TM calibration:**

- Reduced false positives
- Early fraud detection
- Stable compliance staff retention
- Regulatory compliance
- Operational efficiency and customer trust

**Managing positive alert investigations. Basic principles to follow when reviewing alerts:**

1. **Who** is the alert based on?
2. **What** is the purpose of the client account?
3. **Where** in the account usage did the alert happen?
4. **When** was the alert generated and is this the first time?
5. **Why** did the alert occur specifically on this account?
6. **How** is the account being used in comparison to expected usage?

Module 6 CURRENT CONSULTING GROUP

## AI and ML: The future of transaction monitoring and enhanced investigations

Hosted by Björn Wahlström, CEO of Current Consulting Group

**AI support in TM:**

1. **Understanding**: AI analyzes vast transaction data, learning normal patterns.
2. **Identifying**: Detects anomalies and potential risks beyond predefined rules.
3. **Prioritizing**: Ranks alerts based on risk levels, focusing on higher-priority issues.
4. **Collaborating**: Facilitates human-machine collaboration for nuanced analysis.
5. **Reporting**: Generates comprehensive reports, enhancing decision-making and regulatory compliance.

AI and ML complement human expertise in transaction monitoring, offering advanced analytics and adaptability, while fostering collaboration for optimal risk detection, but they don't replace the nuanced judgment and decision-making of human analysts.

# Top 10 Highlights from the Advanced Transaction Monitoring Masterclass

### Balance AI and human support

Striking the right balance between technology, human expertise, and adapting regulations are the keys to success.

### Forget tick-box methods

Tick-box methods lack adaptability, hinder nuanced analysis, and often result in oversights in transaction monitoring.

### Adopt risk-based approaches

Shift from rigid rules-based approaches to risk-based systems. This allows for more efficient and effective monitoring, with tailored controls based on individual risk profiles.

### Embrace AI, ML, and blockchain analysis

These technologies can help identify complex patterns, uncover hidden connections, and stay ahead of evolving threats.

### Identifying suspicious behaviors is key

Learn how to analyze customer data and define what constitutes "normal" for each segment.

### Stay updated on evolving threats

Regularly re-evaluate your controls and refine your alerts to stay ahead of the curve.

### Regularly assess your financial crime risk exposure

This helps you prioritize your monitoring resources and focus on the areas with the highest risk.

### File Suspicious Activity Reports (SARs) correctly

Understand the reporting requirements and ensure you fulfill your legal obligations.

### Understand the regulatory landscape

Familiarize yourself with FATF recommendations and regional regulations to ensure compliance and avoid penalties.

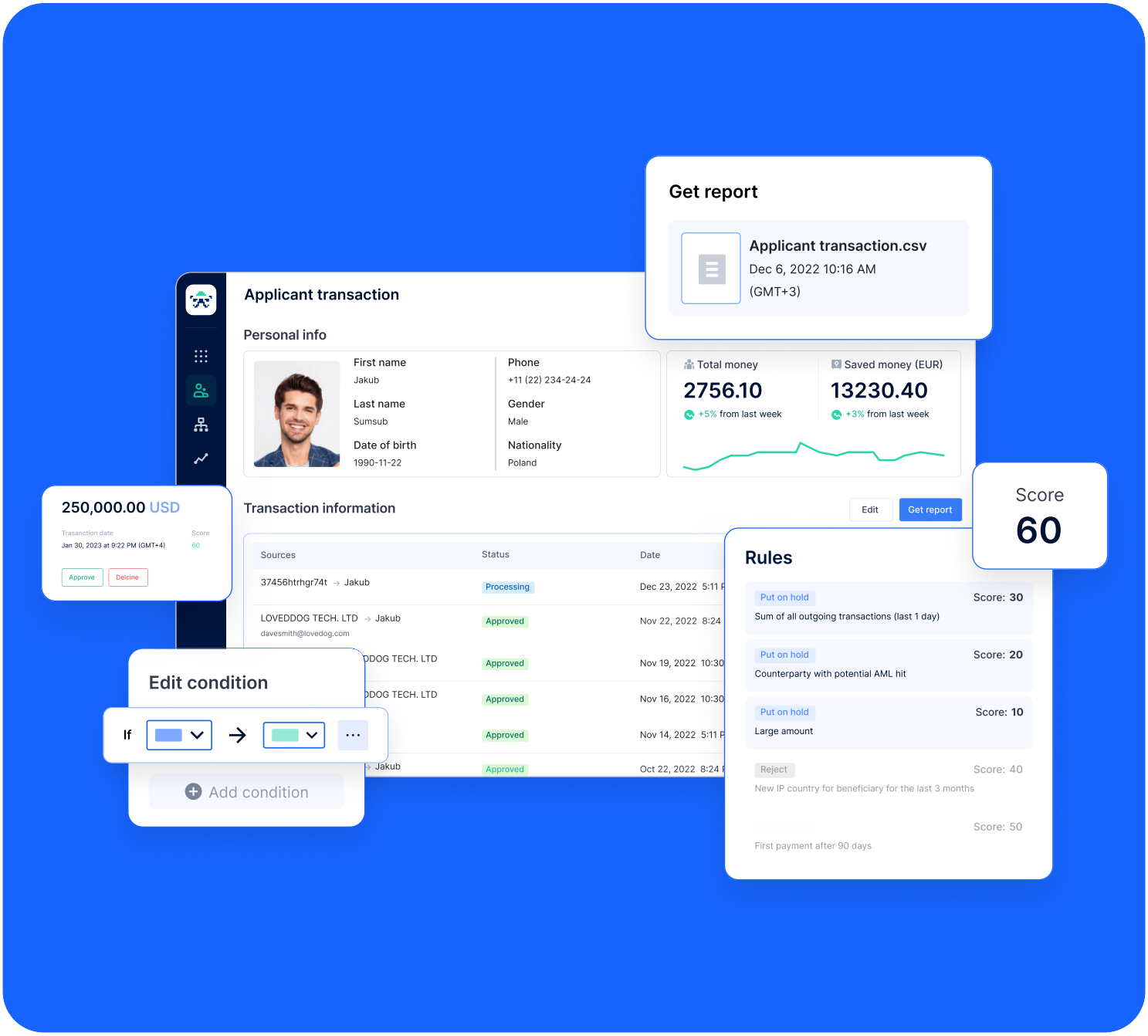
### Collaborate to progress

Collaboration between FIs and regulators is critical for building a strong defense against financial crime.

# From insights to action: How Sumsub can help you further

The necessity for fine-tuning calibration so that your application aligns with customer, business, and regulatory needs is an ongoing challenge. However, the solution is within one approach: **the transaction monitoring ecosystem.**

You have already observed the functionality of the TM ecosystem by interacting with this course. By uniting industry veterans via open-access tools and content, we move away from static instructions and toward a global nexus that can keep up with the shifting fintech landscape.



# The transaction monitoring ecosystem

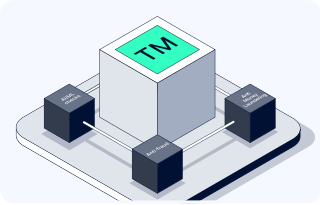
The crucial feature of Sumsub's TM ecosystem is that it allows you to navigate transactions with one verification platform for the whole user journey, with one consolidated system that adapts to continuous changes. **Here is a summary of the components you will find within our transaction monitoring tools:**

## Cross-border transaction oversight

The TM ecosystem extends its capabilities to monitor cross-border transactions, addressing global compliance challenges and ensuring a comprehensive approach to risk management.

## Scalable architecture

Designed for scalability, we can accommodate the evolving needs of businesses, making it suitable for both small enterprises and large corporations with growing transaction volumes.




## Integration capabilities

Our solution seamlessly integrates with existing systems and platforms, providing a hassle-free adoption process for businesses across various industries.

## Continuous updates and compliance

We keep you current with regulatory changes, providing regular updates to ensure ongoing compliance and alignment with industry best practices.

## Unlock the future of secure transactions with Sumsub

Register here →

The keys to transaction monitoring excellence are **in calibration and alignment with ongoing global trends**. The best way to continue updating your skills and defense against financial crimes is by asking us your unique questions.

Don't forget the expert **Ask Me Anything** (AMA) session on **March 21, SGT 5 PM**. We look forward to continuing this journey with you!